

to develop the Indian downstream business. Another component of the strategy has been to make manufacturing more interesting and appealing. “Our attempt is to take the brawn out and put more brain into analytical activity. For instance, modern smelters have nothing lifted physically but are around analysing data.” Three areas really define Hindalco’s strategy—the downstream market, people, and digital.

With his earlier employer, Pai was quick to learn how critical people were. He picks out Jim Collins’s best-seller from 2001, *Good to Great*, to elaborate on this point. “It is based on a simple premise that if you get the right people on the bus, it will go to the right place,” he says.

Recalling his initial days at Hindalco, Pai says something as basic as a daily report would first go to someone from the plant before he saw it. “Digital was not very important, and the first step was processes and standardisation. Traditional manufacturing was hierarchical, and digital today has flattened the organisation with information coming live.” It also meant the skillset requirements had changed. In the past, a person straight out of school could do paperwork, but those jobs don’t exist anymore, with at least a diploma in engineering being a

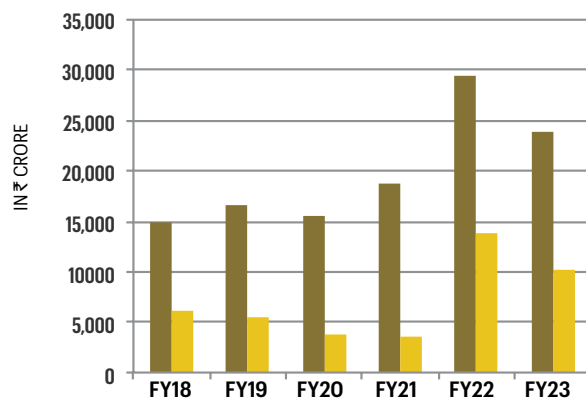
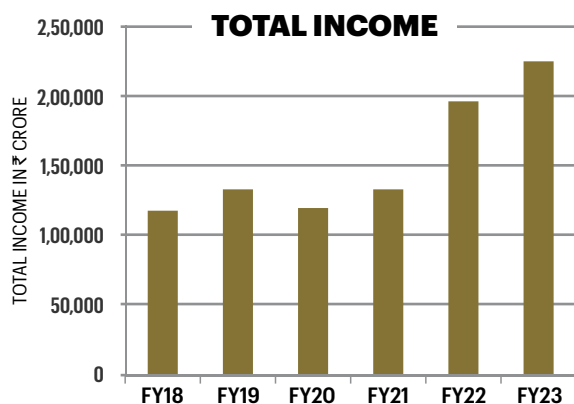
must today. There is also a focus on making the firm inclusive, and that starts at the base of the pyramid, with 40% of the workforce being women.

All these changes seem well timed. Most people in manufacturing are convinced that this is India’s moment. Of course, it has been a long road—in aluminium, India started smelting in the 1950s, while China got on to it in the 1990s, and today it produces half of the global volumes. “Just imagine; we buy technology from them,” says Pai in utter disbelief.

On the downstream strategy, Aditya Welekar, Senior Research Analyst at financial solutions firm Axis Securities, says it derisks Hindalco from volatile global aluminium prices. According to a Hindalco investor presentation, the firm expects domestic consumption to double from 4.5 million tonnes in FY23 to 9 million tonnes in FY33. “Building and construction, packaging, lightweight, and EVs in auto and electrical applications provide tailwinds for that. A scenario of fewer integrated aluminium producers and Hindalco’s presence in both integrated upstream and downstream supply chains, coupled with a first-mover advantage, is a clear runway to capture the downstream market,” says Welekar.

FINANCIAL PERFORMANCE

- Hindalco’s income has been on an upward trajectory after the dip during the pandemic
- However, its profit dipped slightly in FY23 compared with FY22



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